



Qualification Programme Examination Panelist's Report

Module 3 – Business Economics (June 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This section consisted of 20 multiple choice questions covering the whole syllabus on economics and business statistics. Good performance in this section would reflect a solid understanding of the relevant concepts and the ability to apply the concepts in different settings as well as to handle the necessary calculations well.

Overall, candidates performed well in the categories of “calculation” and “knowledge” but demonstrated unsatisfactory performance under “application”.

Specific Comments

Candidates' performance was weak in the following areas:

- Familiarity with the basic definitions of important and increasingly relevant economic terms (“knowledge” category, e.g., externality in production & consumption and stagflation).
- Familiarity with key formulas and their use in both economic and statistical issues (“calculation” category, e.g., price elasticity of demand, standard deviation, and coefficient of variation).

Overall, candidates are advised not to only focus on standard issues (e.g., elasticities calculations) but also on issues that have been gaining increasing importance and relevance in modern economies (e.g., externalities and market failures).

An efficient and effective way for candidates to gain a basic understanding of the whole syllabus and the types of questions that they might face in the examination is to go through the entire study pack for this module.

(II) Section B – Written Questions

General Comments

This section consisted of 4 questions. Performance ranged from unsatisfactory to good, with the majority skewing to the former.



Specific Comments

Question 1(a)(i) – 3 Marks

This question required candidates to solve for the market equilibrium; that is, to calculate the equilibrium price and quantity of the commodity in question.

Overall, performance was good. Candidates seemed to be well prepared and were comfortable with calculations that they had encountered in the course of their studies.

Question 1(a)(ii) – 4 Marks

This question required candidates to determine the size of excess demand/supply when price was under government control.

Overall, performance was good.

Question 1(a)(iii) – 2 Marks

This question required candidates to state the two major forms of price control that could be imposed by the government.

Overall, performance was good.

Question 1(a)(iv) – 2 Marks

This question required candidates to state a cause related to market failure that had led to the price control determined in part 1(a)(ii) above. In addition, candidates were asked to state the market practice that commonly emerges as a result of (or as a response to) price control.

Performance was unsatisfactory. Most candidates were unable to make use of the result reached in part 1(a)(ii) (i.e., excess demand/shortage of wheat at the government-imposed price level) to conclude that the government had imposed a “price ceiling” in the wheat market. If they had, they would have been able to come up with a market failure-related cause, such as the market being controlled by a company or companies with strong price-setting power.

Question 1(b)(i) – 5 Marks

This question required candidates to use the (non-graphic) demand and supply model to analyse what would happen to the equilibrium price and quantity in the automobile market after the petroleum refinery facilities in the Middle East were disrupted by terrorist attacks.

Performance was unsatisfactory. Most of the candidates were clearly not familiar with the concept of “complementary goods/complements”, of which petroleum (or more precisely, gasoline) and cars are well-known examples. The overwhelming portion of

the answers were only focused on the demand-supply analysis of the petroleum market and thus were far from complete.

Question 1(b)(ii) – 5 Marks

As with Question 1(b)(i), this question required candidates to use the (non-graphic) demand and supply model to analyse what would happen to the equilibrium market price and quantity in the automobile market if the price of steel increased significantly.

Performance was unsatisfactory. Once again, most candidates failed to realise that steel is a major input to the production of cars. A significant rise in the price of steel would therefore increase the cost of car production and would thus reflect a leftward shift of the automobile supply curve (as profit-maximizing manufacturers would respond by cutting the quantity supplied at any given price level).

Question 2(a) – 2 Marks

This question required candidates to define gains from international trade and to state two of the sources of the gains.

Performance was unsatisfactory. The overwhelming majority of the answers missed the basic point: gains refer to the benefits from trading rather than producing; that is, the benefits that are over and above the benefits derived from producing the goods and services themselves.

Question 2(b) – 4 Marks

This question required candidates to compare tariff and quota as trade protective measures.

Performance was unsatisfactory. Although the majority of candidates were able to provide a rough definition of the two measures, they seemed to have problem understanding the proper meaning of the term “compare” and hence provided incomplete answers. Candidates are strongly advised to refer to the HKICPA Taxonomy for details.

Question 2(c)(i) – 2 Marks

This question required candidates to describe a commonly used measure for an economy’s “degree of trade openness”.

Performance was unsatisfactory. To answer this question, one needs to focus on the literal meaning of the phrase “degree of trade openness”. In other words, the focus should be on the degree of importance of non-domestic economic activities (as measured by exports and imports) to an economy’s total activities (as measured by its GDP). For answers that involved other measures, full marks would only be granted if explanations as to what make up the measure (instead of just the name of the measure) were provided.



Question 2(c)(ii) – 1 Mark

This question required candidates using the measure suggested in part 2(c)(i) above to compare the degree of trade openness of Hong Kong with that of the US (i.e., to decide if the US has a higher or lower degree of trade openness than Hong Kong).

Performance was satisfactory.

Question 2(c)(iii) – 2 Marks

This question required candidates to state the two basic types of exchange rate systems/regimes.

Performance was satisfactory.

Question 2(c)(iv) – 1 Mark

This question required candidates to describe the type of exchange rate system Hong Kong has adopted in relation to the two basic types of regimes provided as an answer to part 2(c)(i).

Performance was satisfactory. To receive full marks, candidates' answers must have mentioned that Hong Kong's system is essentially a fixed exchange rate system (or more precisely, a currency board system which in turn is one type of fixed exchange rate system) that has the Hong Kong dollar pegged to the US dollar at a fixed official rate.

Question 2(c)(v) – 3 Marks

This question required candidates to state one advantage and one disadvantage of Hong Kong's exchange rate system *to the territory*.

Performance was unsatisfactory. To ensure the relevancy of the answer (to Hong Kong), it should centre around the backdrop that Hong Kong is an international financial centre and trading hub and currency stability is of utmost importance to its long-term success.

Although the majority of candidates' answers recognised the importance of currency stability because of Hong Kong's high degree of trade openness, they failed to recognize that the Hong Kong Monetary Authority (Hong Kong's de-facto central bank), in pursuit of the linked (fixed) exchange rate system, has essentially given up the interest-setting power that a typical central bank would have. This, to a certain extent, reflected candidates' lack of financial common knowledge at the economy level.



Question 3(a) – 8 Marks

This question required candidates to compute the two commonly-used price indices: GDP Deflator and Consumer Price Index (CPI).

Performance was unsatisfactory. The overwhelming majority of the candidates' answers failed to include even the correct formula for the two price indices. Many candidates also mixed up the concepts and formulas for the calculations of GDP (nominal and real) with those of the two price indices (GDP Deflator and CPI).

All these issues are attributable to a lack of preparation and thus could be corrected by going through the detailed numerical examples provided in the study guide of the module.

Question 3(b) – 8 Marks

This question required candidates to compute the inflation rate using the two price indices computed in part 3(b) and to analyse the differences (i.e., to explain what caused the differences) between the answers.

Performance was unsatisfactory. The poor performance for the first part was the consequence of the domino effect from part 3(a).

As to the second part, candidates are strongly advised to go through the relevant sections in the study guide of this module in detail.

Question 3(c) – 4 Marks

This question required candidates to explain which of the price indices (GDP Deflator or CPI) would serve as a better measure of the cost of living (i.e., the cost of the country's chocolate bar consumption).

Performance was unsatisfactory. To answer the question correctly, candidates needed to have a proper understanding of the pros and cons of the two indices as a measure of cost of living. The basic principle that governs a good measure of the cost of living is that the index should neither consistently overestimate nor underestimate the cost.

Question 4(a)(i) – 4 Marks

This question required candidates to describe inferential statistics and random sampling methods.

Performance was unsatisfactory. As the issues involved were rather standard statistical issues, the poor performance reflected, to a significant extent, candidates' weak backgrounds in statistics and insufficient preparation.



Question 4(a)(ii) – 2 Marks

This question required candidates to list two advantages and two disadvantages of the random sampling method.

Performance was satisfactory. In listing out the disadvantages of random sampling, some candidates stated that the random sampling method would result in an unrepresentative sample. This obviously was incorrect as generating a representative sample is one of the major advantages of the random sampling method.

Question 4(a)(iii) – 6 Marks

This question required candidates to state and describe any two random sampling methods.

Performance was satisfactory. Most candidates were able to provide the correct names and detailed enough descriptions of two methods.

Question 4(b) – 4 Marks

This question required candidates to describe the two defining characteristics of public goods.

Performance was unsatisfactory. Instead of stating the correct terms that characterise public goods, most candidates drilled into the literal meaning of “public good” instead.

Question 4(c) – 8 Marks

This question required candidates to explain the opportunity cost of Jocelyn’s decision (given that she had already ranked the three choices available to her).

Performance was unsatisfactory. Two factors seemed to contribute to the poor performance: (i) most of the candidates failed to read the questions carefully enough to realise that the choices listed out in the question had already been ranked and thus the opportunity cost of Jocelyn’s choice (Option (1)) must be Option (2); and (ii) most of the candidates, although able to put down the definition of opportunity cost, seemed to have problems grasping the correct meaning of the definition and thus failed to appreciate the meaning of the phrase “the next best alternative”.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was fair. The main identifiable reasons for a lack of stronger performance were a weak background in statistics (candidates’ backgrounds in economics were also weak but seemed not to be as weak as in statistics) and a lack of preparation for the examination.



Another issue candidates should note is that being familiar with the meaning of the terms in the HKICPA Taxonomy would help enhance the relevance of the answers.

Finally, candidates are strongly advised to go through the study guide of the module comprehensively to acquire a solid understanding of the issues (economics and statistics). Supplementary reading beyond the study guide will be of great help to candidates who have not studied economics and/or statistics before.